

He also pursued a bold acquisition strategy, consolidating the spirits industry. Guinness acquired Distillers Co. in 1986 for \$4 billion. Distillers was bigger than Guinness. This single acquisition reduced the Guinness family's ownership from 22 percent to 4.5 percent.

And it turned out that Saunders had illegally pumped up Guinness's share price to make the stock-and-cash offer to Distillers.

The scandal sullied the Guinness name, even though the family was not involved in the stock scheme. Saunders went to jail.

To avoid a possible takeover, Guinness merged with Grand Metropolitan to form Diageo in 1997.¹⁴

The Guinness family still owns 51 percent of the Dublin brewery, but less than 3 percent of the company that bears their name. No Guinness family members sit on the board or have a role in the management of the business.

The Guinnesses still have plenty of money. Edward Guinness, the fourth Earl of Iveagh, is reportedly worth around \$3 billion. He's a farmer and an alternative energy investor.

In 2006, the family set up a multifamily office—the Iveagh Wealth Fund. They now make a business out of managing their own wealth and offering family office services to other families.

Perhaps the Guinnesses can be as successful in this new business as they were in brewing. But it's awfully hard to generate the same returns from investing as you can get from a growing a profitable business.

Unless there is a very good reason, don't dilute ownership of the family business. And don't bring in outside management. Keep the family active and in control of the business. It's often at the core of your family's identity and its wealth-building strategy. Generally, it's better to have control of a smaller business that you know than it is to have shares in a bigger business you neither understand nor control.

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